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Insurance Bureau of Canada
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# New IFRS 17 Key Performance Indicators Aim to Improve Consistency

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**Introduction**

Consistency in financial reporting is essential for informed decision-making, accountability, and long-term trust. Standardized metrics and benchmarks help ensure financial results are clearly understood, fairly compared, and reliably used. For internal teams, key performance indicators (KPIs) support accurate evaluation and strategic planning. For external stakeholders, KPIs provide transparency and foster confidence in an organization's financial health and performance.

As the property and casualty (P&C) insurance sector continues to adapt to International Financial Reporting Standard 17 (IFRS 17), the new global accounting standard for insurance contracts, there remain challenges around how results are interpreted and applied. For example, some insurers may differ in how they define certain line items such as expenses or financing income, leading to inconsistencies across companies in reported results.

IFRS 17 affects how profitability and performance are measured, understood and compared. While it offers greater transparency into underwriting and investment activities, the absence of a consistent, straightforward set of KPIs risks confusion and misinterpretation. To address this, the Insurance Bureau of Canada (IBC), in collaboration with its member-led KPI Working Group, developed a set of eight IFRS 17-based KPIs defined specifically for the P&C industry. These KPI ratios have been approved by IBC's Finance Standing Committee and received strong and broad-based industry support. They are a step toward harmonized reporting analysis, making it easier for regulators, governments and market observers to compare and understand financial results.

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These eight KPIs along with Investment Yield, Return on Equity and MCT/BAAT ratio have been adopted in the MSA Researcher platform as of Q1 2025 data. The full paper can be found here: New IFRS 17 metrics discussion paper aims to improve consistency in financial reporting.

**Advantages of These KPIs**

These new KPIs offer several advantages:

- They are based entirely on IFRS 17 Statement of Profit or Loss items. No additional tables or disclosures are required to calculate these ratios.
- The ratios are designed for clarity and comparability (e.g., comprehensive combined ratio [CCR] as the best proxy for the combined ratio under IFRS 4) and use a consistent denominator (insurance revenue).
- Several of the ratios can provide insights at the provincial and business-line level, including the Insurance Service Ratio (ISR), which aligns directly with IFRS 17's new insurance service result.

**KPI Formulae**

Here is how the eight new KPIs are calculated.

$$(1)\ \boldsymbol{Gross/Direct\ ISR} = \frac{\boldsymbol{Insurance\ Service\ Expenses}}{\boldsymbol{Insurance\ Revenue}}$$

$$(2)\ \boldsymbol{Reinsurance\ Impact\ Ratio} = \frac{\boldsymbol{Net\ Expenses\ from\ Reinsurance\ Contracts\ Held}}{\boldsymbol{Insurance\ Revenue}}$$

$$(3)\ \boldsymbol{Net\ ISR} = (1) + (2)$$

$$(4)\ \boldsymbol{General\ and\ Operating\ Expense\ Ratio} = \frac{\boldsymbol{General\ and\ Operating\ Expenses}}{\boldsymbol{Insurance\ Revenue}}$$

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$$(5)\ \boldsymbol{Operating\ Combined\ Ratio} = (3) + (4)$$

$$(6)\ \boldsymbol{Net\ Insurance\ Finance\ Expense\ Ratio} = \frac{\boldsymbol{Net\ Finance\ Expenses\ (Income)\ from\ Insurance\ and\ Reinsurance\ Contracts}}{\boldsymbol{Insurance\ Revenue}}$$

$$(7)\ \boldsymbol{CCR} = (5) + (6)$$

$$(8)\ \boldsymbol{Required\ Rate\ of\ Return\ on\ Cash\ Flow} = \frac{\boldsymbol{Net\ Investment\ Return}}{\boldsymbol{Net\ Finance\ Expenses\ (Income)\ from\ Insurance\ and\ Reinsurance\ Contracts}}$$

**Looking Ahead**

The IFRS 17 KPI landscape is still evolving, and it may take several years for stable benchmarks and reliable year-over-year comparisons to emerge. However, establishing common metrics is a critical step toward improving consistency and comparability across the industry. IBC and MSA Research welcome ongoing collaboration and feedback as the sector continues to refine and align performance measurement practices under IFRS 17.

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## Definition and Advantages

| Ratios[3] | Definitions | Advantages |
|---|---|---|
| **Insurance Service Ratio (ISR)** | This ratio is a key profitability measure of insurance service result and represents the relationship between claims costs and expenses that are directly attributable to insurance contracts and insurance revenue. A ratio over 100% generally indicates a loss in insurance service result.<br>• Gross/direct ISR measures the profitability of insurance service result before accounting for reinsurance arrangements.<br>• Net ISR measures the profitability of insurance service result after reinsurance arrangements. | • Can be calculated based on the income statement<br>• Available by line and province<br>• Matches insurance service result (new underwriting profitability measure) |
| **Reinsurance Impact Ratio** | This ratio measures the net reinsurance expenses relative to insurance revenue. | • Can be calculated based on the income statement<br>• Available by line and province |
| **General and Operating Expense Ratio** | This ratio measures the amount of general and operating expenses, which are not directly attributable to the fulfillment of insurance contracts, related to insurance revenue. | • Can be calculated based on the income statement<br>• Can be paired with ISR to capture the overall expenses relative to revenue |

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| Ratios[3] | Definitions | Advantages |
|---|---|---|
| **Operating Combined Ratio** | This ratio measures the overall expenses relative to insurance revenue while accounting for the insurance service expenses, and general and operating expenses. | • Can be calculated based on the income statement<br>• Provides a more complete picture of the expenses from operations and eliminates the impact of allocation |
| **Net Insurance Finance Expense Ratio** | This ratio measures the net finance expenses (income) from insurance and reinsurance contracts relative to insurance revenue. | • Can be calculated based on the income statement |
| **Comprehensive Combined Ratio** | This ratio measures the overall expenses (insurance service expenses, and general and operating expenses) relative to insurance revenue, while also accounting for the net finance expenses/income from insurance and reinsurance contracts. | • Can be calculated based on the income statement<br>• Provides a more complete picture of the expenses from operations and eliminates the impact of allocation<br>• Can be used as the best proxy of the "old" combined ratio under IFRS 4 |
| **Required Rate of Return on Cash Flow** | This ratio measures the investment return relative to the net finance expenses (income) from insurance and reinsurance contracts. When the investment return and the net finance expenses (income) from insurance and reinsurance contracts are both positive, a ratio larger than 100% suggests that investment returns are exceeding the rate at which the discounting on insurance liabilities is unwinding/accreting and being adjusted for changes in assumptions. | • Can be calculated based on the income statement |

Please reach out to Tes at Tesfaye.Fekade@msaresearch.com for any feedback on the ratios and the calculations.

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